DEPARTMENT 1 · DEVELOPMENT AND IT · PROFESSION 12

Financial analyst

Profession 12 of 10 in Development and IT.

What the profession means

A financial analyst analyses money: budgets, forecasts, variance against plan, profitability and the cash position, and explains them to managers.

What professionals do every day

Builds budget and forecast models, compares actuals with plan, analyses margins, prepares monthly reports and advises on decisions with financial impact.

Why businesses hire them, and what problems they solve

Decisions about pricing, hiring and spending need clear numbers. A financial analyst gives those numbers and shows the assumptions.

- Forecasts that are not updated.
- Variances nobody explains.
- Models with hidden assumptions.

Skills you need

- Financial statements basics.
- Budgeting and variance analysis.
- Forecast models in Excel.
- Clear assumptions and scenarios.

Tools (free and paid)

Tool	What it is for	Free option	Paid option	Official link (not checked live)
Microsoft Excel	Analysis and reports	Free online version	Microsoft 365 plans	www.microsoft.com/microsoft-365/excel
Google Sheets	Shared models	Free	Paid Workspace plans	sheets.google.com
Power BI Desktop	Dashboards	Free	Power BI Pro and Premium plans (verify)	powerbi.microsoft.com/desktop/

Learning sequence: beginner, intermediate, advanced

Level	What you can do when you finish
Beginner	Compute variance between budget and actual.
Intermediate	Build a three-scenario forecast.
Advanced	Write a one-page commentary.

Projects by level

- **Beginner:** Monthly management accounts summary.
- **Intermediate:** Pricing margin analysis.
- **Advanced:** Cash flow forecast for a start-up.

Client-ready portfolio project

A monthly financial summary for a fictional shop: actual against budget, variances with explanations, a three-scenario forecast and a commentary.

Worked example

Worked example. Actual revenue of 11,100 against a budget of 12,000 is a variance of minus 900 (7.5%). The commentary explains the cause before any recommendation.

Assignment with full solution

ASSIGNMENT

Variance and commentary

Business problem: A shop's owner wants to know why revenue is below budget.

Steps

1. Compute the variance: actual minus budget.
2. Express it as a percentage of budget.
3. Split by channel to find the cause.
4. Write two sentences of commentary.

Expected output: The variance table and the commentary.

SOLUTION (ANSWER KEY)

11,100 minus 12,000 is minus 900, which is 7.5% of the budget. The channel split shows which part of the business drove the gap. Commentary names the cause and the next action; it does not invent a cause without evidence.

Common mistakes

- Forecasting without scenarios.
- Mixing gross and net figures.
- No record of assumptions.
- Reporting numbers without the period.

Freelancing opportunities

- Monthly management reporting for small firms.
- Forecasting for start-ups.

- Briefs for 'financial analysis', 'budget model', 'variance analysis'. Tax and legal advice belongs to a qualified professional.

Learning resources

LEARNING RESOURCES (VERIFY BEFORE USE)

- Microsoft Excel help

Part of **Master Freelancing: Data Analytics and Data Science**. **Back to the chapter list on skillnavora.in** · **Open the full textbook**. Official links in this chapter were not checked live; confirm before relying on them.